

Types of Organizational Structure in Business

By [Chron Contributor](#) Updated May 26, 2021

One of the decisions a business owner has to make is what type of organizational structure his or her business is going to use. There are four main types of business structures in the U.S.: sole proprietorship, partnership, limited liability and corporation. Each structure has different tax, income and liability implications for businesses owners and their companies.

A Sole Proprietorship

Sole proprietorship is the simplest organizational structure available for businesses and according to the IRS, it is the most common form of business in the U.S. Businesses structured as a sole proprietorship allows the owner(s) to have total control over company operations. Businesses that typically form sole proprietorships are home-based businesses, shop or retail businesses and one-person consulting firms.

Owners of sole proprietor businesses are responsible for their own record keeping and paying the IRS in the form of self-employment taxes. However, this type of business provides no protection for business owners, as they can be held personally responsible for their company's debt and financial obligations.

A Partnership Agreement

A partnership is formed when two or more people join, or partner, together to run a business. Each partner has equal share in the net profits and losses of their business. Like a sole proprietor, each partner reports their income on their personal tax return and pays self-employment taxes to the IRS.

They are also personally liable for financial debt and obligations of their company and also the actions of other partners. Although partnerships can be formed through oral agreements and handshakes, written agreements can be the best option in the event of disputes or lawsuits between partners.

Limited Liability Company

One of the newest organizational structures for businesses is limited liability company (LLC). The limited liability structure is considered a hybrid as limited liability companies can be formed as corporations or partnerships. LLCs can provide owners, who are commonly referred to members under this structure, the protection from liability and other obligations similar to a corporation. Limited liability companies can also be set up and managed like partnerships. The taxation of LLCs also depends on



its structure. Due to its limited protection, some companies such as banks and insurance companies are restricted from being LLCs.

The Corporate Structure

The most complex organizational structure for businesses is the corporation. This type of business structure separates the liabilities and obligations incurred by company operations from being the responsibility of the owners. Corporations are regulated by the laws of the state they are set up in.

Unlike sole proprietor and partnership businesses, corporations are taxed as separate entities at corporate tax rates. The IRS taxes corporation owners at individual tax rates. There are two common types of corporation structures: Subchapter C and S. The difference between the two subchapters stems from different tax rules. Ordinary corporations are considered Subchapter C corporations.

Subchapter S corporations, unlike Subchapter C companies, can pass income and losses onto their shareholders to avoid paying federal income taxes. This prevents double taxation of corporation profits.